

employers and employees contribution to the Provident Fund with prescribed authorities.

Place: Chennai

Date: 02.09.2011

Sd/-

Name of Company Secretary :

LAKSHMMI SUBRAMANIAN

C. P. No. : 1087

Annexure A

Registers as maintained by the Company

1. Register of Members u/s 150 of the Companies Act, 1956
2. Register of Directors u/s 303 of the Companies Act, 1956
3. Register of Directors Shareholdings u/s 307 of the Companies Act, 1956
4. Register of Contracts, Companies and Firms in which Directors of the Company are interested u/s 299, 301 and 301(3) of the Companies Act, 1956
5. Minutes of the Annual General Meeting/Extra Ordinary General Meeting & Board Meetings u/s 193 of the Companies Act, 1956

Annexure B

Forms and Returns as filed by the Company with the Registrar of Companies, during the financial year ending on 31st March 2011

	Date of Event	Date of filing	Due date	Remarks
Form 23 AC/ACA	30.09.2010	15.10.2010	30.10.2010	In time
Form 20B	30.09.2010	24.11.2010	29-11-2010	In time
Form 66	30.09.2010	15.10.2010	30-10-2010	In time
Form 32	23.03.2011	25.03.2011	22-04-2011	In time
Form 32	15.05.2010	12.06.2010	14-06-2010	In time
Form 32	30.09.2010	18.10.2010	30-10-2010	In time
Form 25C	30.09.2010	13.12.2010	29-11-2010	Belated
Form 25C	30.09.2010	19.10.2010	29-11-2010	In time
Form 23	26.07.2010	10.08.2010	28-08-2010	In time
Form 61	03.06.2010	10.06.2010	10-06-2010	In time

AUDIT REPORT TO THE MEMBERS OF KLK ELECTRICAL LIMITED

Ladies & Gentlemen,

- I have audited the attached Balance Sheet of M/s. **KLK ELECTRICAL LIMITED, CHENNAI**, as at March 31, 2011 and also the Profit and Loss Account and Cash flow Statement for the year ended on that date annexed thereto all of which I have signed under reference to this report. These financial statements are the responsibility of the company's management. My responsibility is to express an opinion on these financial statements based on my audit.
- I have conducted my audit in accordance with the auditing statement standards generally accepted in India. Those Standards require that I plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. I believe that my audit provides a reasonable basis for my opinion.
- As required by the Companies (Auditors' Report) Order, 2003 issued by the Central Government of India in terms of Sub-Section (4A) of Section 227 of the Companies Act, 1956, I give below, a statement on the matters specified in paragraph 4 & 5 of the said Order.
 - The Company has maintained proper records showing full particulars including quantitative details and the situation of its fixed assets. The company had disposed off all the fixed assets during the year and no assets were there for physical verification at the year-end. As the company is planning for starting a new line of business and acquire new assets, the sale of assets will not affect the going concern concept of the Company.

2. (a) During the year there was no inventory at the year-end and hence the physical verification of inventory is not applicable.

(b) On the basis of my examination of the records of inventory, I am of the opinion that the company is maintaining proper records of inventory. The discrepancies, if any, noticed on verification of physical stocks and the book record does not arise.

3. (a) The company had not granted any loan, secured or unsecured, to other companies, firms or persons covered in the register maintained under section 301 of the Companies Act, 1956.

(b) The company had taken interest free unsecured loan from three parties listed in the register maintained u/s 301 of the Act. The maximum amount due during the year was Rs.4,241,135/- and the balance outstanding as at the end of the financial year is Rs.4,241,135/-

(c) No interest is payable on such loan taken from him and the other terms and conditions with regard to repayment are, in my opinion prima facie, not prejudicial to the interest of the Company.

4. In my opinion and according to the information and explanation given to me, there are adequate internal control procedures commensurate with the size of the company and the nature of its business with regard to purchases of inventory and with regard to the sale of goods. During the course of my audit, no major weakness has been noticed in the internal controls.

5. Based on the audit procedures applied by me and according to the information and explanations provided by the management, I am of the opinion that the transactions that need to be entered into the register maintained under section 301 have been so entered.

6. In my opinion and according to the information and explanations given to me, that there are no transactions made in pursuance of contracts or arrangements, entered in the registers maintained under section 301 and exceeding the value of 5 Lakh rupees during the year.

7. In my opinion and according to the information and explanations given to me, the company has not accepted deposits from public under sections 58A and 58AA of the Companies Act, 1956 during the year.

8. The company has an internal audit system during the year commensurate with the size of the company and nature of its business.

9. In my opinion and according to the information and explanations given to me, the Central Government has not prescribed any rules under clause (d) of sub-section (1) of Section 209 of the Act for the maintenance of cost records in respect of the products dealt with by the company.

10. (a) According to the records of the company, the company is yet to remit the undisputed income tax arrears of Rs.566,607/- relating to the asst. years 1984 - 85 to 1989 - 90, which is outstanding as at March 31, 2011 for a period of more than six months from the date they become payable.

(b) According to the records of the company, there are no dues of sale tax, income tax, customs tax or wealth tax, excise duty / cess which have not been deposited on account of any dispute.

11. The company has incurred cash losses during the financial year covered by my audit, but the company has not incurred any cash losses in the immediately preceding financial year. The accumulated loss has exceeded 50% of the net worth of the company.

12. Based on my audit procedures and on the information and explanations given by the management, I am of the opinion that the company has not defaulted in repayment of dues to a bank. The company does not have any debenture holders.

13. Based on my examination of documents and records, I am of the opinion that the company has not granted during the year any loans or advances on

the basis of security by way of pledge of shares, debentures and other securities.

14. Based on my examination of documents and records, I am of the opinion the company is not carrying on any activity relating to chit fund, nidhi, mutual benefit fund/society, no special statute is applicable to the company.

15. Based on my examination of the records and evaluation of the related internal controls, I am of the opinion that the company is not dealing or trading in shares, securities, debentures and other investments and hence the question of maintenance of adequate records relating to the same does not arise.

16. The company has not given any guarantee for loans taken by others from bank or financial institutions.

17. The company has not raised any term loans during the year and hence the application of the funds for the purpose for which they were raised does not arise.

18. According to the information and explanations given to me and on an overall examination of the balance sheet of the company, I report that no funds raised on short-term basis have been used for long-term investment. No long-term funds have been used to finance short-term assets.

19. Based on my examination of records and the information provided to me by the management, I report that the company has not made any preferential allotment of shares to parties covered in the register maintained under section 301 of the Act.

20. During the period covered by my audit report, the company had not issued any debentures and hence the question of creation of any security in the respect of these debentures does not arise.

21. The company had not raised any money through public issues during the year under audit.

22. Based upon the audit procedures performed and information and explanations given by the management, I report that no fraud on or by the company has been noticed or reported during the course of my audit.

IV. Further to my comments in Para III above, I report that

- I have obtained all the informations, and explanations which to the best of my knowledge and belief were necessary for the purpose of audit;
- In my opinion, proper books of account as required by law have been kept by the Company so far as appears for my examination of those books.
- The balance sheet and the profit and loss account and cash flow statement dealt with by this report are in agreement with the books of accounts.
- In my opinion the balance sheet and the profit loss account dealt with by this report comply with the accounting standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956;
- On the basis of written representation received from the Directors as on 31st March, 2011 and taken on record by the Board of Directors, I report that none of the Director is disqualified as on 31st March 2011 from being appointed as a director in terms of clause (g) of Section 274 of the Companies Act, 1956;
- In my opinion and to the best of my information and according to the explanations given to me, the said accounts give the information required by the Companies Act, 1956, in the manner so required:
 - In the case of Balance Sheet of the State of Affairs at March 31, 2011;
 - In the case of the profit and loss account, of the Profit for the year ended on that date; and

iii In the case of the Cash Flow Statement for the year ended on that date.

Chennai
D1.02.09 -2011

N.Subramanian
Chartered Accountant
Membership Number 21628

BALANCE SHEET AS AT MARCH 31, 2011

	Sch. No.	As at 31.03.2011 Rs.	As at 31.03.2010 Rs.
SOURCES OF FUNDS			
SHARE HOLDER'S FUNDS			
Share Capital	1	12,500,000	12,500,000
Reserves & Surplus	2	13,500	13,500
LOAN FUNDS			
Unsecured Loans	3	4,241,135	4,179,827
TOTAL		16,754,635	16,693,327
APPLICATION OF FUNDS			
FIXED ASSETS LESS DEPRECIATION			
Fixed Assets	4	5,562,573	5,703,261
CURRENT ASSETS, LOANS & ADVANCES			
Inventories	5	-	30,470
Sundry Debtors	6	4,429,016	12,925,151
Cash on Hand & at Banks	7	14,103	12,790
Loans & Advances	8	236,943	437,943
Sub-Total - A		4,680,061	13,406,353
Less : CURRENT LIABILITIES & PROVISIONS			
Current Liabilities	9a	607,376	8,539,638
Provisions	9b	566,607	566,607
Sub-Total-B		1,173,983	9,106,245
Net Current Assets (A-B)		3,506,078	4,300,109
PROFIT & LOSS ACCOUNT- LOSS TOTAL		7,685,984	6,689,956
TOTAL		16,754,635	16,693,327
Notes on Accounts	11	As per my report of even date attached	

29.03.2011	V.L. Praveen	J.M. Menezes	N. Subramanian
Chennai	Managing Director	Director	Chartered Accountant
			Mem. No. 21628

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2011

	Sch. No.	Year ended 31.03.2011	Year ended 31.03.2010
INCOME			
Sale of Computer Soft wares		-	9,084,188
Tuition fees		2,409,033	-
Other Income		118,711	-
TOTAL		2,527,744	9,084,188
EXPENDITURE			
Consumption of Materials		-	6,536,000
Administrative Expenses	10	3,498,954	2,305,301
Depreciation	4	24,817	30,175
TOTAL		3,523,771	8,871,476
Net Profit(Loss) for the year		(996,027)	212,711
Less: Provision for Current Taxation/FBT Fringe Benefit Tax		-	-
Net (Profit/Loss) After Tax		(996,027)	212,711
Add/Less : Balance Loss b/f from previous year		(6,689,956)	(6,902,668)
Balance Loss Carried to Balance Sheet		(7,685,984)	6,689,956
Earnings per share-Basic		(0.80)	0.17
Notes on Accounts	11	As my report of even date attached	

Schedule-10: Balance Sheet as at March 31, 2011

	As at 31.03.2011 Rs.	As at 31.03.2010 Rs.
1. SHARE CAPITAL		
Authorised Capital		
2,000,000 Equity Shares of Rs.10/- each	20,000,000	20,000,000
Issued and Subscribed Capital		
1,250,000 Equity Shares of Rs.10/- each fully paid-up for cash at par	12,500,000	12,500,000
2. RESERVES & SURPLUS		
Capital Reserve	13,500.00	13,500.00
3. UN-SECURED LOANS		
From Directors & their relatives	4,241,135	4,179,827
5. INVENTORIES (At cost or market value which ever is lower - certified by management)		
Raw Materials	-	30,470
Total	-	30,470
6. SUNDRY DEBTORS (Unsecured-Considered good)		
Debts outstanding for more than 6 months	4,429,016	3,840,963
Other debts	-	9,084,188
	4,429,016	12,925,151
7. CASH & BANK BALANCES		
Cash on hand	156	-
Balances with Scheduled Banks		
a. In current accounts	13,946 14,103	12,790 12,790
8. LOANS & ADVANCES (Unsecured - Considered good)		
Tax Deducted at Source	236,943	236,943
Other Advances	-	1,000
Rent Advance	-	200,000
	236,943	437,943
9. CURRENT LIABILITIES & PROVISIONS		
a. CURRENT LIABILITIES		
Sundry Creditors - For Expenses	551,756	81,204
Sundry Creditors - For Trade	-	8,170,228
Advance received against sales/service	-	288,206
Sundry creditors-For others	55,620	-
	607,376	8,539,638
b.Provision for Income tax	566,607	566,607
10. ADMINISTRATIVE EXPENSES		
Salaries and wages	1,025,739	742,000

Directors' Remuneration	268,269	-
Directors Sitting fees	11,000	4,000
Staff welfare	23,915	-
Rent	330,000	-
Legal & Consultancy Charges	265,890	58,498
Electricity Charges	131,495	-
Bad debts written off	1,000	1,361,613
Registration & Relisting Fees	452,069	98,311
Postage & Telephone Charges	151,057	1,521
Printing & Stationery	71,071	512
Board Meeting Expenses	862	662
Office Maintenance	55,511	1,441
Advertisement Charges	607,650	6,750
Bank charges	9,310	2,419
Auditor's Remuneration for Statutory Audit	27,575	27,575
Repairs and maintenance	10,493	-
Travelling and conveyance Expenses	28,466	-
Rates and Taxes	1,500	-
Business promotion Expenses	7,700	-
Miscellaneous Expenses	18,329	-
Total	3,498,954	2,305,301

**SCHEDULE-11: NOTES FORMING PART OF ACCOUNTS
FOR THE YEAR ENDED MARCH 31, 2011**

A. ACCOUNTING POLICIES:

a.ACCOUNTING CONCEPTS

The Company follows mercantile system of accounting and recognizes income and expenses on accrual basis. Accounting policies not specifically referred to are consistent with Generally Accepted Accounting Principles as applicable followed in India.

b.REVENUE RECOGNITION

All expenses and income are accounted for on mercantile basis except accounting of relief, incentives and concessions, which are accounted for as and when the amounts finally receivable against these are ascertained.

c.FIXED ASSETS

Fixed Assets are stated at cost including taxes, freight and other incidental expenses incurred in relation to acquisition and installation of the same.

d.DEPRECIATION

Depreciation on all fixed assets have been provided on Written down value Method on pro-rata basis with respect to the month of additions of respective assets at the rates specified in Schedules XIII to the companies Act, 1956.

e. INVESTMENTS

There are no investments held by the company.

f.INVENTORIES

Raw Materials, Bought out components, consumable stores and Spares are valued at cost.

g. RETIREMENT BENEFITS

As there were no employees in the Company at the year-end, no provision for gratuity/provident fund has been made in the books of accounts.

h. FOREIGN EXCHANGE TRANSACTIONS

There are no foreign exchange transactions.

i. LEASES

There is no lease transactions entered into by the company so far.

j. TAXATION

Provision for current tax, if any, is made in accordance with the provisions of Income tax Act, 1961. Current Tax is determined as the amount of tax payable in respect of taxable income for the period. Deferred tax is recognized, subject to the prudence, of timing differences, being the difference between taxable incomes and accounting income that originate in one period and are capable of reversal in one or more periods.

k. INTANGIBLE ASSETS

Intangible assets in the form of technical know-how and drawings are acquired from foreign collaborator and held for manufacture of new products. The cost of the same would be written off uniformly over a period of six years commencing from the year in which the new products using the technical know-how are manufactured.

l. EARNINGS PER SHARE

The company reports basic and diluted earnings per share in accordance with the Accounting Standard – 20 – 'Earnings Per Share'.

m. CONTINGENCIES

All liabilities have been provided for in the accounts except liabilities of a contingent nature, which have been disclosed at their estimated value in the Notes on accounts.

B. OTHER NOTES ON ACCOUNTS

1. Contingent Liabilities: Nil (Previous Year: Nil)
2. During the year 1995 – 96 the Company re-issued 2,700 Equity shares, which were earlier forfeited. After re-issue of shares an amount of Rs.13,500/- has been transferred from Share Forfeiture Account of Capital Reserve Account.
3. The Company has entered into a Foreign Collaboration Agreement with M/s. Elin Union, Austria, for the transfer of Technical Know-how for the manufacture of Isolators and Load Back Switches for which two instalments of the technical know-how fees has been paid. The company has received the technical know-how and the relevant drawings and specifications for the payments made.

4. Advance for capital expenditure represents the technical know-how fees paid to the foreign collaborator, restated at the exchange rate as on 31.03.2003 to represent the ruling market price at that point of time. No further revaluation was considered necessary during the current year. The amount spent for acquiring the technical know-how including all pre-operative expenses incurred for the same has been capitalized as on March 31, 2011. The utility of the technical know-how or the products made out of the drawings (prepared a decade ago) to suit the current market requirements is not tested as it is a technical matter.

5. Remuneration paid to the Managing Director:

	Y.E.31-3-11	Y.E.31-3-10
V. LavaKumar – Chairman		
Salary	Nil	Nil
Gratuity paid as MD	2,68,269	Nil
6. Value of Imports calculated on CIF Basis	Nil	Nil
7. Expenditure in Foreign Exchange	Nil	Nil
8. Earnings in Foreign Exchange	Nil	Nil

9. Earnings Per Share:

Net Profit/ (Loss) After tax (Rs.) (996,027)	2,12,711
Shares outstanding (Nos.) 12,50,000	12,50,000
Face value per equity share (Rs.) 10.00	10.00
Earnings per share (both basic and diluted) (Rs.) (0.80)	0.17

10. **Quantitative Information:** As the Company has been carrying on providing training on software animation courses which cannot be quantified in any monetary units and hence the quantitative information of the products dealt with by the company is not provided herein.
11. As none of the employees of the company were eligible for retirement benefits, no provision for retirement cum death gratuity made.
12. Previous year figures have been regrouped/ restated wherever necessary to conform to the current year representation.
13. The Company has obtained confirmations of balances from all the debtors and creditors.
14. Disclosure under Micro, Small and Medium Enterprises Development Act, 2006

Under the Micro, Small & Medium Enterprises Development Act, 2006 (MS & MED) which came into force from October 02, 2006, certain disclosures are required to be made relating to Micro, Small & Medium Enterprises (MS&ME). On the basis of the information and records available with the Company, there are no amounts due to Micro and Small Enterprises as on 31.03.2011.

15. Other Accounting Standards

- a. Related Party Transactions: There are no related party transactions during the year.

LIST OF RELATED PARTIES

Related parties with whom transactions have taken place during the year

(a) Key Managerial Personnel / Individual Relatives

1. V. Lavakumar - Chairman (and Managing Director for part of the year)
2. Ram V. Mani - Managing Director
3. Shanta Mani - Wife of Managing Director

1. During the year the following transaction were carried out with related parties in the ordinary course of business

Sl No.	Nature of Transaction	Associated Individual Relatives		Key Managerial Personnel	
		31.03.2011	31.03.2010	31.03.2011	31.03.2010
	Transactions during the year				
1.	Director's Remuneration including gratuity	NIL	NIL	268,269	NIL
2.	Loan Taken	NIL	NIL	NIL	NIL
3.	Amount due to related parties	NIL	NIL	NIL	NIL
4.	Outstanding balance included in unsecured loan	NIL	NIL	5,381,135	4,179,827

Balance Sheet Abstract and Company's General Business Profile as per Part IV of Schedule VI of the Companies Act, 1956.

Name of the Company: KLK ELECTRICAL LIMITED

Registration No.: 8230

Balance Sheet Date: 31.03.2010

a. Capital Raised during the year: (Amount in Rs.'000)

Public Issue: Nil Rights Issue: Nil

Bonus Issue: Nil Private Placement: Nil

b. Position of mobilization and deployment of funds (Amount in Rs.'000)

Total Liabilities: 17,929

Total Assets: 17,929

Sources of Funds:

Paid-up Capital: 12,500

Reserves & Surplus: 14

Secured Loans: Nil

Unsecured Loans: 4,241

Application of Funds:

Net Fixed Assets: 5,563

Investments: 0

Net Current Assets: 3,506

Misc. Expenditure: 0

Accumulated Losses: 7,686

Performance of Company (Amount in Rs.'000)

Turnover: 2,528

Expenditure: 3,524

Profit Before Tax (996)

Profit After Tax (996)

Earnings per share in Rs: (0.80) Dividend Rate % Nil

d. Generic Names of principal products/services of the Company (As per monetary terms):

Item code No. (ITC Code): 854490.00 8535.00 8537.00

Product Description: Bus duct with Isolator Drives, cubicle Accessories upto 36 KV up to 36 KV for Distribution Panels

Item code No. (ITC Code): Computer hardware and software

V. Lavakumar

J.M. Menezes

Chairman and Managing Director

Director

16. **Segment Reporting:** As there was no activity in the Company other than providing computer software sales, there are no items to be reported under segment reporting.

17. **Deferred tax:** In the opinion of the company there is only deferred tax asset, consists of depreciation allowance and the company is not sure of getting the benefit of the same in future and hence the same not recognized.

As per report of even date attached

V. Lavakumar
Chairman

J.M. Menezes
Director

N. Subramanian
Chartered Accountant

Place: Chennai

Date: September 02, 2011

KLK ELECTRICAL LIMITED

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2011

	Rs.	As at 31.03.2011 Rs.	Rs.	As at 31.03.2010 Rs.
A. CASH FLOW FROM OPERATING ACTIVITIES				
Net Profit/(Loss) before Tax	(996,027)		212,712	
Add: Depreciation	24,817		30,175	
Non - Cash Expenses	-		-	
Operating Profit before working capital changes	(971,210)		242,886	
<u>Adjustments for:</u>				
Inventories	30,470		-	
Trade & Other Receivables	8,496,135		(7,581,394)	
Loans & Advances	201,000		-	
Trade Payable & Other Liabilities	(7,932,261)		6,465,277	
Cash generated from Operations	795,343		(1,116,117)	
NET CASH FLOW FROM OPERATING ACTIVITIES		(175,867)		(873,231)
B. CASH FLOW FROM INVESTING ACTIVITIES				
Purchase/(Sale) of Fixed Assets	115,871		-	
NET CASH FLOW FROM INVESTING ACTIVITIES		115,871		-
C. CASH FLOW FROM FINANCING ACTIVITIES				
Secured Loans	-			
Unsecured Loans	61,308		864,418	
NET CASH FLOW FROM FINANCING ACTIVITIES		61,308		864,418
NET CASH INFLOW		1,312		(8,813)
Opening Balance of Cash and cash equivalents	12,790		21,603	
Closing Balance of cash and cash equivalents	14,103		12,790	
NET (INCREASE)/DECREASE IN CASH & CASH EQUIVALENTS		(1,312)		8,813

Chennai
02.09.2011

Chairman

Director

N SUBRAMANIAN
Chartered Accountant

SCHEDULE - 5 - FIXED ASSETS AND DEPRECIATION FOR THE YEAR ENDED MARCH 31, 2011

Name of Asset	Gross Block			Depreciation				Net Block	
	As at 01.04.2010	Additions/ Deletion	As at 31.03.2011	upto 31.03.2010	For the year	Withdra wn during	upto 31.03.2011	As at 31.03.2011	As at 31.03.2010
	Rs	Rs	Rs	Rs	Rs		Rs	Rs	Rs
Airconditioner	21,500	(21,500)	-	6,057	2,148	8,205	-	-	15,443
Furniture & Fix	194,718	(194,718)	-	69,472	22,669	92,141	-	-	125,246
Know-how Fees*	5,562,573	-	5,562,573	-	-	-	-	5,562,573	5,562,573
Total	5,778,791	(216,218)	5,562,573	75,529	24,817	100,346	-	5,562,573	5,703,261
Previous Year	5,778,791	-	5,778,791	45,355	30,175	-	75,529	5,703,261	5,733,436

Note: No depreciation is charged on technical know-how fees paid as the know-how was not put to use during the year.